estate AI â€” Terms Made Simple

Every word you'll see in the app, explained in plain English, with an example from the page where it appears.

One example deal used throughout this guide

Property:	**Harbor View Apartments** (Multifamily, Austin, TX)	Borrower:	Harbor View Holdings LLC
Loan asked:	**$7,000,000** at 6.5% over 25 years	Property value:	**$10,000,000**
Yearly profit (NOI):	**$750,000**	Yearly loan payments:	**â‰ˆ $567,000**

1. Deal Pipeline & Inbox â€” the list of all loan requests

Term	Plain meaning	Example on this page
Deal / Facility	One loan request from one borrower.	"DL-1042 â€” Harbor View Apartments â€” $7.0M".
Borrower	The company that will take the loan and repay it.	Harbor View Holdings LLC.
Sponsor	The real person or firm behind the borrower company, who runs the property.	Sponsor: Maria Lopez.
Property Type	What kind of building it is (apartments, shops, offices, warehouse, hotel, mixed).	Multifamily = apartment building.
Purpose	Why they want the money: **Acquisition** (buy), **Refinance** (replace an old loan), **Construction** (build), **Bridge** (short-term until a long loan).	Purpose: Acquisition â€” they are buying the building.
Loan Amount	How much money the borrower is asking for.	$7,000,000.
Stage	Where the deal is in the bank's process: Intake â†’ Extraction Review â†’ Underwriting Analysis â†’ Credit Memo â†’ Term Sheet Issued â†’ Lender Submission.	Stage: Underwriting Analysis â€” an analyst is checking it now.
Compliance State	Are the legal checks done? **Verified** (all good), **KYC Pending** (identity not yet checked), **Docs Outstanding** (papers missing), **Exception Flagged** (rule broken).	KYC Pending â€” borrower's ID check still running.
KYC	"Know Your Customer" â€” checking the borrower is who they say they are and not a fraud risk.	Passport and company papers verified.
Priority	How urgent the deal is (High / Medium / Low).	High â€” closing date is in 2 weeks.

Blockers	Number of problems stopping the deal from moving forward.	1 blocker â€" insurance certificate missing.
Days in Stage	How long the deal has been stuck at its current step.	6 days in Underwriting.
Total Volume	All loan amounts in the pipeline added together.	10 deals = $142M total volume.
Impasses	Deals whose compliance is not yet "Verified".	3 impasses.

2. Underwriting Workspace â€" the key money numbers

Term	Plain meaning	Example on this page
Underwriting	The bank checking, in detail, whether a loan is safe to give.	The whole workspace page.
NOI (Net Operating Income)	Yearly rent collected minus running costs (repairs, tax, insurance, staff). Loan payments are *not* subtracted.	Rent $1.2M â^' costs $450k = **NOI $750,000**.
Interest Rate	The yearly cost of borrowing, as a %.	6.50%.
Amortization / Term	How many years the loan is spread over to be fully paid off.	25 years (300 months).
Debt Service	Total loan payments (interest + principal) in one year.	Monthly $47,266 Ã— 12 = **$567,000**.
Existing Debt Service	Payments on other loans on the same property that will stay in place.	$0 â€" no other loans.
DSCR (Debt Service Coverage Ratio)	Can the profit pay the loan? `NOI Ã· Debt Service`. 1.00x = just enough; higher is safer. Bank minimum here: **1.25x**.	$750k Ã· $567k = **1.32x** â†' passes (green).
Property Value	What the building is worth (usually from an appraisal).	$10,000,000.
LTV (Loan-to-Value)	How much of the building's value is borrowed. `Loan Ã· Value Ã— 100`. Lower is safer. Bank maximum here: **75%**.	$7M Ã· $10M = **70%** â†' passes.
Debt Yield	Profit as a % of the loan: `NOI Ã· Loan Ã— 100`. Shows how fast the bank could get its money back if it took the building.	$750k Ã· $7M = **10.7%**.
Grade	Overall safety label from DSCR and LTV (Strong / Adequate / Marginal / Weak).	Grade: Adequate.
Credit Policy	The bank's fixed rules every loan must meet.	Min DSCR 1.25x, Max LTV 75%.

Extraction	Pulling a number or fact out of a document automatically.	"NOI $750,000" pulled from the T-12.
Source	Which document and page a value came from.	"Operating Statement, page 3".
Confidence	How sure the AI is that it read the value correctly (0â€“100%).	94% (green bar) â€” very likely correct.
Status: Confirmed / Needs Review / Conflict	Confirmed = checked OK; Needs Review = a human should look; Conflict = two documents disagree.	Occupancy: Conflict.
Conflicting Source Values	The same fact shows different numbers in two documents.	Rent roll says 94% occupied, appraisal says 89%.
Severity	How serious a conflict is (High / Medium).	High â€” affects the NOI.
Conditions	Things that must be done or received before the loan can close.	"Provide property insurance certificate".
Condition Status	**Open** (not started), **Requested** (asked for), **Received** (got it), **Waived** (no longer needed).	Insurance: Requested.
Owner	Who must deliver the condition: Borrower, Broker or Processor.	Owner: Borrower.
Risk Flags	Short warnings about things that could go wrong.	"â–² Two tenants leases end within 12 months".

3. Loan Documents & Copilot â€” inside the Underwriting page

Term	Plain meaning	Example on this page
Rent Roll	List of every tenant, their unit, rent and lease end date.	48 units, 45 occupied, avg rent $2,100.
Operating Statement / T-12	The property's income and expenses for the last 12 months ("Trailing 12").	T-12 shows NOI $735,000.
Appraisal	A professional report saying what the building is worth.	Appraised value $10,000,000.
Tax Return / Bank Statement	Proof of the borrower's income and cash.	Sponsor holds $1.2M in cash.
Purchase Agreement	The contract to buy the building and the agreed price.	Price $10.2M.
OCR (AI OCR badge)	"Optical Character Recognition" â€” the AI reads text from a scanned page or photo.	Uploaded phone photo of T-12 â†’ badge **AI OCR**.
Discrepancy	A number in the uploaded document doesn't match the deal.	"NOI: doc $735,000 vs deal $750,000".

Re-underwritten	Ratios recalculated after a document changed a number.	NOI updated â†’ DSCR drops from 1.32x to 1.30x.
Copilot	A chat assistant that answers only from this deal's data.	Q: "Biggest risk?" â†’ "Lease rollover in 2027."
Citations	The documents/fields the Copilot used to answer.	Badges: "Rent Roll", "Risk Flags".

4. Credit Memorandum â€” the final report

Term	Plain meaning	Example on this page
Credit Memo	The final report presented to the bank's loan committee.	4-page memo for Harbor View.
Recommendation	**Approve**, **Approve with Conditions**, **Decline** or **Defer** (decide later).	Approve with Conditions.
Rationale	The reason behind the recommendation.	"Strong location; DSCR thin under stress."
Executive Summary	The whole deal in one short paragraph.	"$7M acquisition loan on 48-unit assetâ€¦"
Sponsor Analysis	How experienced and financially strong the owner is.	"Owns 6 similar buildings, 15 years' experience."
Market Analysis	How healthy the local property market is.	"Austin vacancy 6%, rents up 3% a year."
Collateral	The property the bank can take if the loan isn't repaid.	The building itself.
Strengths / Weaknesses	Good points / worrying points about the deal.	Strength: low LTV. Weakness: older roof.
Mitigants	Things that reduce a weakness.	"$150k repair reserve set aside for the roof."
Stress Test	"What if things get worse?" â€” DSCR recalculated in bad scenarios.	NOI â†“10% â†’ $675k Ã· $567k = **1.19x** â†’ fails 1.25x.
Lender Match / Fit	Which lenders' programs suit this deal, scored 0â€“100.	"Regional Bank â€” Multifamily program â€” 88% fit".
Package Completeness	% of required documents already collected.	85% â€” insurance still missing.

5. Extraction Audit â€” how well the AI reads documents

Term	Plain meaning	Example on this page
Documents Processed	How many files the AI has read.	64 documents.
Fields Extracted	How many individual values were pulled out.	312 fields.

Auto-accept Rate	% of values accepted without a human changing them.	87%.
Human Override	An analyst corrected what the AI read.	Value $9.8M â†' changed to $10.0M by J. Patel.
Rejected / Escalated	Rejected = value thrown out; Escalated = sent to a senior person.	Escalated: unclear lease date.
Avg Confidence	Average certainty of the AI across all values.	91%.
Actor	Who took the action: "system" (AI) or an analyst's name.	Actor: system.

6. Syndication & Term Sheets â€" sharing and offering loans

Term	Plain meaning	Example on this page
Term Sheet	A short offer letter listing the main loan terms before the final contract.	Term sheet for DL-1042 from Regional Bank.
SOFR	A standard US base interest rate that changes over time; loan rates are set "above" it.	SOFR â‰ˆ 4.3%.
Spread / bps	Extra interest above SOFR. 1 basis point (bp) = 0.01%, so 285 bps = 2.85%.	"SOFR + 285" â‰ˆ 4.3% + 2.85% = 7.15%.
"5 yr / 30 yr amort"	Loan lasts 5 years, but payments are calculated as if spread over 30 years (a balance is left at the end).	Term: 5 yr / 30 yr amort.
Term Sheet Status	Drafting â†' Issued â†' Negotiating â†' Accepted / Declined.	Status: Negotiating.
Key Terms	Important special rules in the offer.	"No prepayment penalty after year 2".
Syndication	Splitting one big loan among several banks so no one takes all the risk.	A $40M loan shared by 3 banks.
Lead Lender / Participants	Lead = bank that organises and manages the loan; participants = banks that take a share.	Lead 50%, Bank B 30%, Bank C 20%.

7. Covenant Compliance â€" watching promises after the loan

Term	Plain meaning	Example on this page
Covenant	A promise in the loan contract the borrower must keep for the whole loan.	"Minimum DSCR 1.20x".
Threshold	The limit set by the covenant.	1.20x.
Actual	The borrower's real current number.	1.32x.

Compliant / Watch / Breach	Compliant = safe; Watch = close to the limit; Breach = promise broken.	1.32x vs 1.20x â†' **Compliant**. A deal at 1.08x â†' **Breach**.
Next Test	The next date the number will be checked.	2026-12-31.
Alert / Severity	A warning, ranked High / Medium / Low.	High: "DL-1047 DSCR breach â€" call borrower."

8. Everywhere in the app

Term	Plain meaning	Example
AI Engine Live / Offline	Shows whether the AI is working right now.	Green "AI Engine Live" in the top bar.
AI generated Â· time	This content was written by the AI at that time.	"AI generated Â· 3:42 PM".
Regenerate	Ask the AI to produce a fresh version of the page.	Click after uploading new documents.
Active Deal / Active Facility	The loan you are currently working on.	Harbor View Apartments ($7.0M).
Deterministic	Calculated by fixed maths, always giving the same answer â€" not guessed by AI.	DSCR, LTV and Debt Yield.